Menon Bearings Ltd

Concall Tracker: is there a durable earning trigger, and has management been consistent about it? · Publish quarter: Q2 FY27 (folder Q2-2027) · Latest concall read: Q2 & H1 FY27, 30 Oct 2026 · Screener ticker: MENONBE

What the business does: A Kolhapur auto-parts group with three pieces. Menon Bearings makes bi-metal engine bearings, bushes and thrust washers (the core, about three-quarters of group sales). Menon Alkop makes aluminium die-castings (about a fifth), including early EV parts. Menon Brakes makes brake linings and pads (a sliver). Customers are tractor, truck, off-highway, generator and industrial makers: John Deere, Escorts-Kubota, TAFE, Tata Motors, Cummins, Allison Transmission and others, with the US the main export market.

1. Snapshot

Metric	Value and what it means
Market capitalisation	₹1,889 cr at ₹339 a share, up from ₹1,199 cr at our last report. The market has already priced in a lot of the good news.
P/E (price ÷ per-share profit)	47.2, up from 35. Investors pay ₹47 for every ₹1 of yearly profit, which is expensive for an auto-parts maker.
H1 FY27 group revenue	₹194.9 cr, up 47% on last year. Q2 group income grew about 59%. The two quarters that are usually the slow ones were the best ever.
Q2 FY27 standalone (bearings only)	Sales ₹71 cr (+63%), operating margin 22%, net profit ₹11 cr. The parent alone is now earning close to ₹45 cr a year in profit at this run-rate.
Group profit growth (Q2)	EBITDA +104%, net profit +117% on last year. Profit grew twice as fast as sales because the plants were already built.
ROCE / ROE	27% / 23%. It earns ₹27 a year on every ₹100 of capital, which is very good. Capex is paid from its own cash; cash and funds ₹25.7 cr.

Screener's profit table is the standalone bearings company; group (consolidated) figures quoted on the call are larger and are labelled as such.

2. Concall coverage

11 calls tracked, from the company's first-ever call (May 2023) to Oct 2026. Only the new Q2 FY27 call was read in full this quarter; the backstory comes from our Q1-2027 report.

Call period	Date	Source	Marker
Q4 FY23 → Q4 FY26 (9 calls)	May 2023 → May 2026	Carried forward from Q1-2027 report	Two soft years, then FY26 rebound
Q1 FY27 (prior boundary)	17 Jul 2026	Carried forward	Record quarter; US trip enquiries
Q2 & H1 FY27	**30 Oct 2026**	Screener transcript, newly deep-read in full ★	Another record; guidance raised to 30%+

★ Latest concall highlights: Q2 & H1 FY27 (call 30 Oct 2026)

- **Record again.** Group income up about 59% in Q2 and 47% for the half; management says it's the highest sales and profit in company history, and every month since December has beaten the one before.
- **Guidance raised.** FY27 growth now "more than 30%" (was 20-25%), and 30%+ again for FY28. The ₹500 cr revenue milestone, a 2029-30 goal two years ago and "2-3 years" last quarter, is now "most likely next year". That's a big jump from FY26's roughly ₹300 cr.
- **A pipeline with numbers on it.** Management listed extra business it expects: about ₹30 cr in FY27, ₹131 cr in FY28, ₹157 cr in FY29, plus ₹35-40 cr of European enquiries that won't show up before FY28. These are estimates from enquiries (RFQs) and approved samples, not signed orders.
- **Margins held despite a cost spike.** Tin is up 72%, copper 50%, steel 12%; still EBITDA margin stayed around 22% thanks to output per worker up 25% and automation. Segment margins: brakes 30-35%, bearings ~23%, Alkop 18-19%. Next year's target: about 23%.
- **What wasn't said.** No update on the brakes test rig (dynamometer) for railway approval, which was due Aug-Sep 2026. Export share is stuck at 34-35%, short of the 40% they talked about, because domestic grew just as fast.

Business mix & capacity

- **Domestic vs export:** exports about 35% of revenue, domestic about 65%; around 80% of exports go to the US. Read: two-thirds of sales are still in India, and the export share isn't rising because the home market is growing as fast.
- **Auto vs non-auto:** auto about 60-65% of revenue. Tractors are now about 34% of engine-bearing sales, down from 54% ten years ago.
- **Capacity:** no fresh utilisation number this call. Last stated (Q1 FY27): bi-metal 80-87%, aluminium and brakes 65-70%. Management says the buildings are there and it just adds machines; about ₹9-10 cr of automation spend over the next 12-15 months, with a payback of about 3 years.

Since our last report

Builds on the Q1-2027 report (call 17 Jul 2026). Prior verdicts: **Trigger YES · Consistency MAYBE**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	Export- and Alkop-led ramp now converting	Second straight record quarter; growth now from both domestic and export	Confirmed
Consistency: MAYBE	Steady direction, elastic targets	Delivered beyond FY27 guidance so far, but targets moved again, this time upward	Unchanged
US trip: ₹65-75 cr over two years	Enquiries and NDAs, not orders	Now folded into a bigger year-by-year pipeline; still not split into confirmed orders	On-track
Brakes dynamometer by Aug-Sep 2026	Repeatedly delayed	Not mentioned at all. Brakes now talked about as replacement-market and OEM, with railways a footnote	Slipping
Exports to ~40% by FY27	Rising, 36%	Stuck at 34-35%; management says domestic grew alongside	Slipping (benign)
Alkop EV share 8-10%	EV at 4-5%	"In line", but share flat because other business grew too	On-track

Verdict change: both unchanged. The trigger looks stronger, not weaker. Consistency stays MAYBE: they're beating their numbers right now, but the headline targets keep getting re-set and the brakes promise went quiet.

3. Earning-trigger thesis

The driver is plain volume growth on plants that are already built. Foreign buyers moving supply away from China (and, now, Europe looking for steadier suppliers) are giving Menon new parts to make, while Indian truck, generator and even tractor demand has held up. Because the buildings and most machines already exist, each extra rupee of sales drops more to profit, which is why profit doubled on sales up about 60%. Management says roughly two-thirds of its growth is volume, not price. The open questions are whether the big pipeline numbers turn into orders, and whether margins hold as copper and tin stay high.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Export ramp (US, now Europe)	US trip and Europe tour feeding a ₹131 cr / ₹157 cr extra-business pipeline for FY28 / FY29	Exports +75% on last year in Q2; Europe not yet billing	1-3 yrs	Strong. Named customers, already in results.	↑ Europe added as a second leg
Domestic OEM + aftermarket	OEM business +50%; tractor schedules at all-time highs despite drought	Record domestic quarter	Ongoing	Strong but cyclical	↑ stronger than expected
Menon Alkop (castings, EV)	54 new parts in production; EV share on track	Growth visible; margin 18-19%	1-3 yrs	Moderate-Strong	unchanged
Operating leverage + automation	Margin 20-22% now, ~23% next year; headcount up only ~5% on 30% growth	EBITDA doubled; margin held through a raw-material spike	Ongoing	Moderate-Strong	↑ proven in a bad cost quarter
Brakes / railways	Not addressed this call	Railway revenue still zero	Unclear	Weak / Unproven	↓ gone quiet

4. Management-consistency scorecard

Period	What was promised	What actually happened	Verdict
May 2023	20%+ growth in FY24	Revenue fell; guidance cut mid-year	Missed
2023-24	₹400 cr revenue by end FY25	FY25 ~₹244 cr; target re-dated	Missed
May 2025	FY26 ~₹300 cr, margin recovery	About ₹290-300 cr; margins back in H2	Delivered (roughly)
Since 2023	Brakes dynamometer and railway business; latest date Aug-Sep 2026	Dates slipped several times; no mention on the Q2 FY27 call	Missed (repeatedly)
Q1 FY27	FY27 20%+, "maybe 25%" growth	H1 up 47%; guidance now 30%+	Beating
FY26-27	Exports to ~40% of sales	Stuck at 34-35% (domestic grew as fast)	Missed, harmlessly
Q1 FY27	₹500 cr in "2-3 years"	Now "most likely next year"	Too early; target moved again

Narrative drift: the core story (critical engine parts, China-plus-one exports, Alkop growth, no big capex) hasn't changed in three years, and right now the numbers are ahead of the talk. What does change is the size and date of the headline targets. They were pushed out when things went badly (FY24-25) and are now pulled in when things go well. Brakes has gone from a flagship option to barely mentioned. The tone is very promotional ("100% we are going to convert", "why we should not grow 30% for four years"), and the two speakers even gave slightly different FY27 numbers on the call. Treat the pipeline figures as a ceiling, not a base case.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing weakened it, and two things strengthened it: growth widened from exports to domestic OEM and aftermarket, and margins held through a sharp rise in metal prices. It's a real, named driver that's clearly in the numbers, with spare capacity to keep going on small spending. The risks are the auto cycle, a drought hitting tractors, and a share price that already expects a lot.

Management consistent? → MAYBE vs last quarter: unchanged

The current run is good: they're beating this year's guidance by a wide margin. But this is the same team whose targets slid for two years, the ₹500 cr goal has now moved three times, the export-share target was missed, and the brakes test rig, due in August-September, simply wasn't brought up. That's not a changing story, it's the usual pattern of bold dates that bend. Upgrading would need a full year of hitting the new 30%+ guidance and a real update on brakes.

Sources: Screener.in financial tables; Q2 & H1 FY27 earnings-call transcript (30 Oct 2026); earlier calls carried forward from the Q1-2027 report. Group figures are as stated on the call; Screener P&L is standalone. Figures rounded. This is not investment advice. Do your own due diligence.